

The Social Radars

S4: Ron Conway, Founder, SV Angel (Part 3)

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Jessica: I'm Jessica Livingston and Carolynn Levy and I are The Social Radars. In this podcast, we talked to some of the most successful founders in Silicon Valley about how they did it. Carolynn and I have been working together to help thousands of startups at Y Combinator for almost 20 years. Come be a fly on the wall as we talk to founders and learn their true stories.

Carolynn, I'm so excited. Today we are back with Ron Conway for our third installment of the podcast. We're continuing our conversation with Ron's fascinating history.

Ron: It's great to be here.

Jessica: Thanks so much for joining us. Now, Ron, within the last discussion, we were talking about the search industry and how you learned a lot about search at the time with your investment in Ask Jeeves. That was in the mid-'90s, 1996. Can we pick up where we left off there talking about search and what the landscape was like back then?

Ron: Sure. The best way to describe the search landscape back then is very, very cluttered, almost the way the AI industry is today. There's a lot of companies already, hard to pick the winner and many, many companies starting up in the space. But back then you had many companies with decent brand names, clawing for market share. Ask Jeeves was way up there, but you had AOL, you had Lycos, you had Inktomi, you had MSN, you had Yahoo, Alta Vista. It was crazy. Search was the new Gold Rush on the internet.

So people had accepted the internet, but whoever was going to win search, that was where all the interest and where the battle was. And a funny story about Yahoo. When Sequoia invested in Yahoo, Mike Moritz went on the board, and I remember this really lavish party at Vinod Khosla's house. Everybody in tech was there.

Jessica: Okay.

Ron: But the secret sauce of search, no one had figured it out yet. All of these companies even Ask Jeeves, the search results just weren't up to snuff. And everybody knew that. Yahoo created their own index and because of our investment in Ask Jeeves and prior work we had done together with Mike Moritz at Sequoia, he pulled me aside at Vinod Khosla's big party and said, "Hey, what are we going to do about search? The results are not there." And I said, "Hey, I'm in the Ask Jeeves Camp, what do you see?" He goes, "Well, we invested in Yahoo and if you would come over and just help me a little bit, think it through, I would give you shares of the company." And I said...

Jessica: Wow.

Ron: "Sounds like a big problem." And it was at the time. I didn't take Mike up on his offer, but he was describing an accurate dilemma at the time. Just a whole bunch of companies languishing, Ask Jeeves was already public, but nobody was killing it yet in search.

Jessica: I feel like we kind of have to explain this for the young viewers who don't remember a world before the internet and what search was like. But at that point it was just sort of links to different things. There was no...

Ron: There was no relevance.

Jessica: Yeah, no relevance to the results.

Ron: There was just a land grab, but not with any technology that really solved the problem.

Carolynn: It must've felt like the winner takes all, like the company that solved it was going to be the big winner in the space. Is that the vibe you guys had as you talked about it?

Ron: Yes. Everybody knew there was going to be somebody who dominated the market share.

Carolynn: A breakout.

Ron: But at this time it was just a land grab with nobody with the real solution.

Jessica: And even though Ask Jeeves had gone public, it wasn't like, "Oh, they were the best."

Ron: No, all these companies were all nipping at each other's heels.

Jessica: Okay, okay.

Ron: Yahoo, MSN, Ask Jeeves, all of them. Alta Vista, it was war. All of them having just a little bit of market share.

Jessica: Really quick, random aside, but Vinod Khosla at that party, had he started Khosla Ventures at that point?

Ron: No, he was a partner at Kleiner Perkins at that time.

Jessica: Okay.

Ron: He had not gone off on his own.

Jessica: Okay. And I think Kleiner Perkins will come up later.

Ron: Yes.

Jessica: In the story. Okay. So take us back to Google and tell us any sort of relevant history that you know about Google because it's such an important company in the history of Silicon Valley.

Ron: Yes. SV Angel came on the scene in 1999 when Larry and Sergei had known each other for four years by then. But it's important to know that Larry and Sergei met each other when they were PhD students at Stanford. Larry was 24, Sergei was 23. So these are young PhD students who meet each other and start working together. And at the time, the need for a better search engine was everywhere. It's just like the AI discussion is today. It was the topic du jour. If you met somebody at a cocktail party, you were talking about search companies. It was the gold rush as I said earlier but it was what everyone was obsessed with.

So Larry and Sergei, like everybody else, said, "Hey, why don't we come up with a solution?" And theirs, funny enough, they nicknamed it BackRub, was the original name of the search engine. But being PhD students, their solution was more scientific. They thought that if you analyze the web's forward and back links to determine page rank, funny enough, Larry page, page rank, I'm sure they didn't care about that, but they cared about page rank and that the search should be relevant. And when you say page rank and relevant today about search, it's ho-hum.

Jessica: Right.

Ron: At the time, just even the thought of using backlinks for page rank to get to page rank was a revolutionary thought. Then they had to write an algorithm to make that happen.

Carolynn: Are you going to explain the name?

Ron: I actually don't remember the genesis. I think the genesis of BackRub is that the search made you feel good, but I'm just guessing that. We should go find.

Jessica: We're going to go find.

Ron: We should go find that. But their name for the solution was BackRub.

Jessica: Okay.

Carolynn: Okay.

Ron: And because of the high interest in search, people at Stanford, in the engineering department, knew the term BackRub.

Jessica: So just for non-technical people like me to explain it, Google wanted to, if you were searching up a certain kind of dog, they didn't want to list every single photo or webpage that was on the internet of dogs. They wanted to find the one of that certain type of dog that had been linked to the most by other websites.

Ron: Exactly. So if a lot of people, you know, in the early days, the algorithm was more fundamental. It became hugely sophisticated over time. And the reason Google is still the market leader is they still invest heavily in R&D to continue to be the leader in search. But back then, if people asked the same question and they kept going to this one particular site, that site must be giving them the answer. So let's just go ahead and send other people there.

Jessica: To that site. Okay. And were they working on this? I feel like I read that they were working on this with Rajeev Motwani.

Ron: Yes. So when you become a PhD, you get assigned a PhD advisor and that person is assigned to you. But PhD students, I learned all of this after investing in Google and investing in other startups that came out of Stanford University. You get assigned a professor, but because everyone in a PhD program, including the ones who are already PhDs, are super curious people and they all interact with each other about the technology that they're working on.

Jessica: Yeah.

Ron: So Larry and Sergei got assigned professors, but they also hung out with many others. And Larry and Sergei became particularly close to Rajeev because Rajeev had expertise in this area. This was an area that already fit Rajeev's fancy. Whereas the other PhD professors that they got assigned to may have not been thinking about this particular area. But this is an area that Rajeev was very well versed in. So they got closer to Rajeev than others.

Jessica: Okay. So they meet there, they're working on page rank, and then what happened? They published a paper on BackRub?

Ron: Well, BackRub wasn't really a paper. It was just the technology. And because of our SVA, remember everyone's talking about search. And in December of 1998, I got invited to Vivek Ranadive's holiday party because his kids and our kids go to school together and one of the guests at that party was David Cheriton. David Cheriton, a professor at Stanford. So SV Angel already had a strategy at the time. We want to be close to all the PhD professors at Stanford because they generate startups. Sun Micro was started at the Stanford campus.

Jessica: Okay.

Ron: Silicon Graphics was started on the Stanford campus in the PhD programs. So we had already strategically infiltrated the Stanford engineering department, and we asked all the Stanford professors, "Would you like to invest in SV Angel? And if you invest in SV Angel, hopefully you'll get great returns. But in return for that, we want you to tell us when you have an interesting PhD student that you should introduce us to." David Cheriton was one of those professors who invested in our fund, and so was Rajeev Motwani. It just so happened that David Cheriton was at Vivek Ranadive's holiday party.

We are all in tuxedos because he liked black tie. David Cheriton is the most casual dresser on earth other than Paul Graham.

Carolynn: I was just going to say, but you know Paul Graham.

Ron: Exactly.

Carolynn: Wow. Pretty casual.

Ron: Paul, he's in shorts. For this party, he had a tuxedo on. So I went up and made fun of him, and he made fun of me that we were so dressed up and that we don't like being dressed up. And then just to keep cajoling him, I said, "And oh, by the way." And he goes, "By the way, what?" I said, "I haven't seen any deal flow from you lately. You have to have at least one or two students in your program who are starting a company that would be interesting to SV Angel. You have to be a good investor. That's your part of being in our fund." And he goes, "Well, as a matter of fact." And that's the first time I ever heard the term BackRub.

So he says to me out of the blue, "Oh yeah, BackRub would probably be of interest." I said, "Well, tell me what BackRub is?" And he said the magic words. He said, "BackRub is a search algorithm developed by two students at Stanford, which searches by page rank and relevance." And I put my drink down and said, "Oh my God, this is big." This is big because we had all the context from our Ask Jeeves investment and evaluating other search investments that SV Angel was looking at. And I immediately knew that if a search engine searched by page rank with the goal of relevance, and it was an algorithm that was scientific, it would definitely be ahead of the rest of the market.

Carolynn: So Ron, you all knew that page rank and relevance was what was needed to be solved. No one had just cracked the nut yet?

Ron: Exactly.

Carolynn: Okay.

Ron: But the term page rank was also brand new with...

Carolynn: Well, that's what I was going to ask. Were these the terms?

Ron: But the minute you say page rank, it goes, oh, that would be the solution.

Carolynn: Right, right. Okay.

Jessica: I was thinking the same thing though. You didn't even know what page rank was until it was explained to you and you said, "Aha."

Carolynn: That's the key.

Jessica: Yes.

Ron: It has to be good. It has to be good. So he said, "Hey, hey, don't be too anxious. The product isn't ready yet. And I know they wouldn't meet with you. Wait till the time's right. You have to trust me."

Jessica: Did you, Ron? Did you trust him?

Ron: I had to.

Jessica: Okay. You waited.

Ron: I didn't want to go around David. I didn't even know who these guys were, and I didn't want to walk up and down the halls of Stanford saying, "Where's Larry and Sergei?" And I think at that time, he didn't even tell me their names. I only really knew BackRub, page rank with the goal of relevance and that was enough where I stayed on his case for months. He got phone calls from me. Everyone who knows me well knows I know how to hound people. And I try and hound in a friendly way and I never irritated David. But sure enough, when I called him late March, he said, "Guess what? The time is right. They're going to raise money and let's go have lunch at the Empire Tap Room."

Jessica: Down in Palo Alto.

Carolynn: Remember the Empire?

Ron: Yeah. The Empire Tap Room was the tech hangout in Palo Alto. So there's lots of tech hangouts in every town. But in Palo Alto at that era, '98-'99, everyone hung out there, especially the Netscape Mafia. And we already talked about the power of Netscape, the influence that Netscape had. There was always five people from Netscape Management at Empire Tap Room. So that was our favorite spot. So we had lunch there and he embellished, the BackRub was getting more developed, and that Larry and Sergei had even written a paper called, "What Can You Do With a Web in Your Pocket?" And they authored that. That was co-authored by Larry, Sergei, Rajeev and Jeff Ullman. Two Stanford Professors plus Larry and Sergei.

And that is the defining paper that actually disclosed that they had written an algorithm for search and that if you use this product, it would be the web in your pocket. And with that, they founded the company in '98, and they founded it with four angel investors. The first one being David Cheriton, who was already known to Larry and Sergei. But then Jeff Ullman, one of the other professors at Stanford, introduced Ram Sriram. Ram had just sold Jung Lee to Amazon and Jeff Bezos was starting to angel invest. So Ram asked Jeff if he wanted to invest \$100,000.

Jessica: Ron, hold on a second. Are you telling me Jeff Bezos was one of the original investors in Google and I never knew this?

Ron: Yes, I am telling you that.

Carolynn: Wait, did you know this?

Jessica: Of course. I didn't know this. I've never heard this.

Ron: And then Andy Bechtelsheim was actually the first.

Jessica: Oh yes. Tell that story.

Ron: David Cheriton asked Andy if he wanted to invest. Andy loved the idea, didn't have a lot of time and wrote a \$100,000 check on the spot. On the spot.

Jessica: Famous story.

Ron: And they hadn't incorporated the company yet. So the check sat in Sergei's drawer for several months.

Carolynn: The pay to the order was blank?

Ron: It was Google. No, they had a name.

Carolynn: They had a name, but just didn't, no bank account.

Ron: Correct. No bank account.

Jessica: But it sat in Sergei's desk for months. I mean, \$100,000? That's a lot of money back then.

Ron: Well, they got the other investors and incorporated the company.

Carolynn: Well, so when you had lunch with them at Empire Tap Room, that's when you met them for the first time?

Ron: Only David Cheriton.

Carolynn: Oh, not, oh.

Ron: I had to go through a screening.

Carolynn: We haven't even got in there though.

Ron: A screening process.

Carolynn: So lunch was just with David?

Ron: David and God bless him, wanted to make sure that SV Angel could add value.

Carolynn: Oh, right.

Ron: He was vetting me.

Carolynn: I mean, he's an investor.

Jessica: He's an investor in SBA.

Ron: Yeah.

Carolynn: And he's still vetting you.

Ron: Yeah, because he wanted to do good by Larry and Sergei that he was referring an investor who could actually add value.

Carolynn: That makes sense.

Ron: And he wanted to hear more about SV Angel and I gave an earful, and he introduced Larry and Sergei that afternoon.

Jessica: Hold on though. Empire Tap Room with David Cheriton. Did you tell him about all of the thoughts you had and observations on Ask Jeeves?

Ron: Yes.

Jessica: That must've been impressive.

Ron: Yes. But more about, I think the interest back then was more about they were getting ready to go to their VC round. So the round with Ram and Andy Bechtelsheim, that was seed round. They were getting ready to go to the VC round, and David wanted to make sure that I could add value, that I really knew a lot of other VCs. And of course, we passed that test because we're one of the earliest angel investors out there, and we syndicated many, many deals already. So I think that's the comfort David was looking for, because Larry and Sergei wanted people to help them with the funding process itself.

Jessica: Because they were 24 years old.

Ron: Exactly. They had never been through this at all. And Ram Sriram was already there as an investor, an angel investor who, because of Jung Lee knew the funding process and they wanted a few other people like that.

Jessica: So this round with Ram and David Cheriton and Bezos, that had closed or were they?

Ron: That closed a couple years.

Jessica: Okay. When were you going to invest alongside the VCs or?

Ron: Yes, we would invest alongside the VC.

Jessica: Okay.

Ron: We wanted to just be in the next round. We did not care what it was based on the description page rank and relevance. We just wanted in. In fact, I saved the bill from the Empire Tap Room, and I wrote on the bill, "This is big." Because in talking to David, he told me a lot more about the technology, and I just knew that they have solved the puzzle on delivering quality search results and they've done it through an algorithm. And this is big. So when Google was 10 years old, we're digressing here for a second, but Susan Wojcicki was starting to forget things that had happened 10 years ago, and she said, "We can't do this. This company is too big and too important." And so they did video interviews, I guess, with about 20 of us from the early days, and I was one of them. And after that interview, they asked me for the receipt, Google, and they have since given the receipt to the Computer History Museum, and it's somewhere down there.

Carolynn: That's a great story.

Jessica: Yeah, so great. So it's at the Computer History Museum.

Ron: Yeah, it's somewhere down there.

Carolynn: That means we can see if Ron's a good tipper.

Ron: Yeah. Yeah. I've always been a good tipper, especially on events like that.

Carolynn: But just to go back a little bit, they had eventually gotten the seed money and they'd formed the company at that point. And then did they actually do any hiring? At the time, you're talking to David Cheriton, is it still just the two of them, or had they?

Ron: Well, they had moved out of their dorm room to Susan Wojcicki's garage in Menlo Park, and for \$1,700 a month, this is where some of the, a little bit of the seed money went. It allowed them to move to a real office, which was Susan's garage.

Jessica: Okay. Sergei's future sister-in-law.

Ron: Exactly.

Jessica: Okay. And CEO of YouTube for many years.

Ron: Yes. Yes.

Carolynn: Okay. So they took their seed money and they got a real office in a garage. And was that basically the state they were in when we're now at this lunch with David Cheriton before you invested?

Ron: Funny enough, right before I met with them, which was May of '99, they had moved to the 165 University Avenue office. The Amity family owned it, and many, many famous

startups started in that space. But I ended up meeting them for the first time in that office.

Jessica: Okay. There's a lot. I have to ask some details here. Sorry.

Ron: Sure.

Jessica: When you were at the Christmas party talking to David Cheriton, and he's like, "Well, they're not ready yet for you to meet them." Had he already invested in them? What does he mean they're not ready for you to meet them?

Carolynn: That's a good question.

Ron: I'm thinking because of the timing, he probably had invested, I don't know the exact date, but I don't think he was being evasive or anything. It's because they weren't ready for the next round of funding.

Jessica: Okay.

Ron: It would be irrelevant to ask them when they're in the middle of doing research, when there's only two of them.

Jessica: Okay.

Ron: "Hey, I've got an investor for you." Like, what are you talking about?

Jessica: Okay. Got it.

Ron: He couldn't call me until they were ready for the next round. It was the Angel round, the money was dwindling down and they go, "Hey, we've accomplished enough. It's time to go raise venture capital."

Jessica: Okay. So you go to the Empire Tap Room. David Cheriton's, like, "I think SV Angel will be a win for you." So he introduces you to Larry and Sergei?

Ron: Yeah, we passed muster.

Jessica: Okay. You passed muster with David Cheriton. Tell us all about that meeting.

Ron: So David introduced us the afternoon we had lunch. And I went to visit the office with Bob Bozeman, who was an investor, who was a general partner in Angel Investors One. That was our fund after Adam Ventures and the fund we were investing out of at the time. And Bob, his dad, was CTO of Wang Computer.

Carolynn: Oh, wow.

Ron: Bob was a technologist himself. I said, "Bob, think of all the hard questions to ask the search engine with an engineer sitting next to you telling you how they came up with that answer and just confirm while I'm talking to Larry and Sergei, that we should push all the poker chips on the table for this investment." Once again, because of our knowledge of Ask Jeeves and our knowledge that the search market was a multi-billion dollar market, today, we have found out it's a trillion dollar market. Back then, we would actually say billion, which you wouldn't say that very often, but we knew the search industry was going to be a multi-billion dollar industry.

We wanted to be in the winning company, and we knew that they had, this algorithm seemed like it was the Nirvana for search. So I said, and never do this before we visit a company like we rehearse it. Never. Never before, never since. But I said to Bob, "Wherever you're sitting, I will try and sit in eyesight and just give me a thumbs up that they do have a unique algorithm. When I see that thumbs up, I'm not leaving the place until I get a commitment." And we weren't there half hour. And Bob literally looks at me with a huge grin, with a thumbs up like, "Let's not leave here." This is the company that's going to dominate this space because they have real bonafide research and they have an algorithm. So while Bob was doing that, Larry and Sergei were explaining the dynamics of the funding. They had already decided, we're going to raise a VC round, and they had been turned down by several VCs, but John Doar, God bless John Doar. John Doar, got it. And John Doar said, "I'm in."

Jessica: Yeah, of Kleiner Perkins.

Ron: Of Kleiner Perkins and Larry and Sergei, by now, they're two years older, but Larry and Sergei, a lot of people said, "Oh, did you go see those guys? They're so arrogant." And I'm going, "Geez. I went to see them. And all I saw was two really determined founders who knew exactly what they wanted."

Jessica: Interesting.

Ron: They go, oh, that's the way you see them. I go, oh, yeah. So here's what they said to me. They said, "Okay, we got John Doar. We need John Doar. Because the search space is so cluttered, we need AOL to OEM our search engine so that we get users. We got Lycos, AltaVista, we got all these other people. Excite. Excite was right in the backyard. Everyone's talking about Excite. How are we going to break through the clutter?" Their solution that they had already decided, it wasn't my idea, we're going to get an AOL OEM deal, and that will allow thousands of users to use the product and say, "This search is better than anybody else." And start to build their own brand, their own Google website. And the fact that it was a blank page just with the search bar minimalism, I mean, genius right out of the gate. Why do we need all the clutter of all these Yahoo, everybody cluttering up the web space with web pages with other ads and stuff.

Jessica: Design.

Ron: Yeah. They had a design sense. These two had a design sense.

Jessica: So Kleiner had invested in AOL.

Ron: Yeah. And Floyd Kwame from Kleiner Perkins was on the AOL board, and they knew. We're not going to do this by ourselves. We're going to do an inside job. So Floyd is going to take us into AOL. So then they say, "Okay, Conway, where do you think we're leading to next?" I said, "Oh, probably, Sequoia is in Yahoo, and you want to see Mike Moritz who's on the Yahoo board. Do I pass the riddle?" And they go, "Yeah, you pass the riddle. Do you know Sequoia?" I said, "Well, Don Valentine's the one who got me into angel investing in the first place." I am very, very close to Sequoia and I'm very close to Mike Moritz. They didn't want any other Sequoia partner. They only wanted Mike Moritz because Mike had the connection to Yahoo and they wanted an OEM deal at Yahoo.

Jessica: Yep.

Ron: Then we can be a big company while we build our own brand. We're going to do these three things in parallel. I'm going, "It sounds good to me." And then I said, "Hey, what about us? I can't leave without us getting an allocation." "Well, if you get Mike Moritz and Sequoia to invest, you will get an allocation." I said, "Great. That sounds like a good deal." I said, "Now, do you realize that Kleiner Perkins and Sequoia, they don't invest together?" Kleiner Perkins and Sequoia today invest all the time together. But back in 1999, it was verboten. If it was just like, you're going public. If you get Goldman Sachs, you're not going to get Morgan Stanley.

Jessica: That's right.

Ron: And Kleiner and Sequoia would not invest in each other's deal. They both thought they were King of the Hill. So I said, "You know that this is not going to be easy." And they said, "Hello. That's why we're giving you the task."

Carolynn: Wow.

Ron: You produce and you get an allocation.

Carolynn: Well, I can sort of see where the arrogance reputation came. I mean, this is, by the way, hustle and amazing, but I can see how that might've been.

Jessica: It's a big ask of you, Ron.

Carolynn: It's big, yeah. Just like that's a lot.

Ron: Well, I loved it.

Carolynn: Okay.

Ron: It was very forthright, businesslike, "Here's the strategy." "Are you going to help? If you can't help, we'll find somebody else to help."

Jessica: Yeah. Can we put a little pin quickly in this? I want to ask you, in that meeting, what else were you struck by about Larry and Sergei personally or just as founders?

Ron: How young they were that they had left Stanford and moved to Susan's garage. But I was most struck by Bob Boseman's thumbs up that this algorithm works.

Jessica: Okay.

Ron: That was like, this is what the entire search, this is what everyone in America is looking for, is a search engine that works.

Jessica: Yeah.

Ron: And once I got the thumbs up from Bob, I loved everybody in the office. So Larry and Sergei are super busy. They're enhancing the algorithm every day. Plus they're starting the company, plus they're in a funding cycle. So I did not want to leave the office without a point person to work with. I said, "Okay, you guys are busy. Who do I work with? And who's going to help you divvy up these allocations once everything happens?" And they say, "Oh, that's Salar. Salar's. He's the head of operations." So I immediately know Salar is going to be my pal.

Jessica: Whether he likes it or not.

Ron: Whether he likes it or not. And Salar was not in the meeting. There was like five, six people in the office. So they were starting to hire people. And so I said, "So where does Salar sit? I want to meet him before I leave." So they take me to Salar's desk, and I am looking at a kid who is no older than 12 years old. Now I know he is older than 12. Salar still, still looks young. It's a gift.

Carolynn: I was going to say.

Ron: So, "Hey Salar, I'm Ron." And so I said, "I'm going to be working with you." So I told him a little bit about SV Angel, and I ingratiated myself. And then I said, even though I had to curry favor with him, I had to ask, "Salar, do your parents know that..."

Carolynn: It's so valid.

Ron: "That you're here because you belong either in a high school campus or a college campus. I can't figure out what."

Carolynn: Goodness.

Ron: And he laughs. And he goes, "I'm a biology, pre-biology PhD at Stanford."

Carolynn: Wow.

Ron: And I said, "And you're moonlighting over here. Let me ask you again, do your parents know you're here?" And he goes, "No." He goes, "You're not going to tell them are you?" I said, "No, no, no. I'm not going to tell them."

Jessica: That's great.

Ron: "It's just our secret."

Jessica: Classic.

Ron: But because I knew that they had the algorithm, I said, "Guess what? You're really smart. Mom and dad aren't happy, but this company is going to go places." Because the search market is so cluttered and Larry and Sergei have figured it out.

Carolynn: Did you get a demo that day in the office?

Ron: Oh, yeah. Yeah. Bob Bozeman was getting the demo.

Carolynn: Okay. So it wasn't just a discussion. It was like, let us show you exactly, okay.

Ron: Bob was at a computer with an engineer trying to get to the innards of the algorithm. Only a short amount of time, but we just wanted some technical assurances. Once we knew we were going to put in all the chips, we put in all the chips. I worked full time on the Google financing until it happened. Now, thank God it happened a month later. Didn't take forever, but it was really, really intense.

Jessica: Ron, tell us the story.

Ron: Yeah. I get out of the office and I call up Mike Moritz and Mike Moritz is traveling somewhere. I said, "I'll get somebody here by..." It was a Thursday that we met. "You will see Mike Moritz by Friday afternoon, one day later." And they go, "That works. That proves that you really do know Mike Moritz, because if you don't really know him we'll move on to the next person. We got to get our Yahoo OEM deal."

So I call up Sequoia, he's not there. He's traveling. So we sent Doug Leoni in for the meeting and said, "This is not Mike Moritz, but it's another general partner at the firm, and Mike will see you the following Monday." As soon as he's back, he's out, he's traveling. He was in New York or somewhere where he literally physically couldn't show up. There was enough buzz about Google that when I called, Mike and Doug were both interested and said, "Hey, if you checked out the algorithm and it works, we know none of this other stuff works. We want to get in there."

Carolynn: At what point did they find out that Kleiner was already in?

Ron: Well, once they had the meeting with Mike, then we broke the news that Kleiner was in, and that is what took the deal three more weeks to happen, is both of them basically refusing to work with the other one. And then this is how I got really close to Ram

Sriram. So Ram Sriram, one of the seed investors, his job was to close Kleiner Perkins, which was easier because they were kind of already sold. But Ram and I were working on Kleiner because I knew Kleiner really well myself. We were both working on them. "Hey, let Sequoia in and vice versa." And it was about a month later, we were sitting in Foster City in a Starbucks when, I forget what tactic I used, but we were escalating our tactics as time went on. Whatever tactic I used worked, and Kleiner and Sequoia agreed on this Saturday morning when I was in a Starbucks in Foster City, that they would invest together.

Carolynn: Wow.

Ron: I called Larry and Sergei. I said, "The deal's done." But it took three weeks of haggling.

Carolynn: That's amazing.

Ron: I could drive you to the Starbucks today to the parking place we were sitting in. When I told Gail, "This is history." It was just like the receipt from the Empire Tap Room. This was part of the history of this company. As we got these two VCs who didn't want to work together to invest \$12 million each, a little over 10% of the company, each, \$70 million pre-valuation. \$70 million valuation in those days was huge.

Carolynn: Huge.

Ron: For a company with zero revenue. And back then, when you asked Larry and Sergei, "How are you going to get revenue?" They said, "Go to the end of the deck. There's nothing there. We have no idea how we're going to get revenue." That's another thing I liked. It wasn't arrogant, it was truthful. Overture had not been founded yet. Overture was the first company. It was a Bill Gross company down in LA that had a concept on how to monetize search through ads, was Overture. And Salar, whose parents by then knew he was at Google, he watched Overture and other developments in the business, and Salar is the one credited for being the genius who figured out how to monetize ads. And it's this thing called AdWords. That was the genius of Salar who started as the operations guy.

Carolynn: Biology PhD for the win.

Ron: Yeah. Yeah. In the front of the office.

Jessica: So the KP and Sequoia deal went through and you don't remember what tactic you used that finally got them to acquiesce?

Ron: I don't. It was something...

Jessica: We'll have to interview Larry or Sergei.

Ron: Or Ram Sriram.

Jessica: Okay. So that closes, and do they get their deals, their white label deals or OEM deals with Yahoo and AOL?

Ron: Yes. AOL was pretty quick.

Jessica: Okay.

Ron: Yahoo took a little bit longer, but yes, Yahoo happened, and I had been telling Larry and Sergei that SV Angel's allocation was nowhere near KP and Sequoia, and in the Yahoo round, they were nice enough to come to SV Angel and say, "In this round with just Yahoo, you get SV Angel guests to invest whatever they want."

Carolynn: That's so nice.

Ron: We trued up our ownership in the company because we had been working so hard. We introduced them to Cindy McCaffrey, the very first VP of Marketing of Google. What she did for that company is just unbelievable. We helped Omid Kordestani a lot starting the business side of the company. Now we got in and got our hands dirty right away the way we always do. But Larry and Sergei really appreciated it. Then a year later said, "Invest whatever you want in this round."

Carolynn: But they didn't offer that to Sequoia or Kleiner?

Ron: I don't think so.

Carolynn: Oh, just curious. Wow. Interesting.

Jessica: So then what happened next with Google?

Ron: They just kept hitting the markers. Salar came up with the AdWords strategy, and then they started monetizing. But in early 2000, the VC money from KP and Sequoia, the \$24 million, was starting to dwindle, so to speak. And Sheryl Sandberg was hired by Eric Schmidt and his first job, Eric Schmidt was then the CEO.

Jessica: Do you remember anything about that, about the VC's installing Eric Schmidt and how Larry and Sergei felt, that you can talk about?

Ron: Everyone was able to agree on Eric Schmidt. There was an agreement in the term sheet that A CEO would be hired, and that did take a while, and that led to some frustrations. But eventually everyone agreed on Eric Schmidt and Eric Schmidt became the CEO. He walks in and says, "Hey, it looks like we're running out of money." He had just hired Sheryl Sandberg, and he tells Sheryl, "Call Ron Conway since he knows all these funders really well, and tell him, get ready to tee up. We're going to need a round of funding." Now this is when the prospects for Google are better than ever. So I am delighted that Sheryl emailed me. She emailed me on, I'm looking at it, November 26 of 2001.

Carolynn: Wow.

Ron: So the round was in 1999. So sure enough, two to three years later, they've not run out of money, but they have a quarter tank left, let's say. And so I'm looking at an email where I list every funder, and I told her, because we felt so good about the company, we are happy to syndicate this round. We want to be the biggest investor in the round, and here's who all the investors will be. I worked intensely for like 10 days. At the same time, AdWords is starting to kick in and the cash register starts, ding, ding, ding. And Sheryl calls me and says, "Wow, we think we're going to do just fine without any funding." And so that funding never ever happened.

Carolynn: That's an amazing call to make, right?

Jessica: Wow.

Carolynn: We just started to generate revenue and we don't need to raise any more money.

Ron: But the revenue in this case, because the search engine was already huge, you just bolt on the ad engine and an explosion happens. Meade, you know, was the head guy at the cash register. By then, Tim Armstrong was in there too, building the sales operations.

Jessica: Oh, okay. Were you disappointed when she said

Ron: Of course. I was.

Jessica: Thanks, but...

Ron: I was heartbroken. I was heartbroken.

Carolynn: It's good news and bad news.

Ron: Happy for the company. Just went on our merry way.

Jessica: Oh my gosh.

Carolynn: So this was, you said 2001?

Ron: Yeah.

Carolynn: Okay.

Ron: But sure enough, the ad engine started to, the ad engine kicked in.

Carolynn: Yeah, pretty quickly.

Ron: And by then they had moved out of 165 University. But think about who else was in there. That's where PayPal was born, at that address. The Adam Osborne personal computer. He was the first kind of laptop, you know, portable, the Adam Osborne computer. And the crazy one is Andy Rubin started Danger, which was an operating

system for the phone, which in those days was a whole new concept. Andy also started a company called Android that Google acquired. And just think of if those walls could talk.

Carolynn: Gosh, no kidding.

Ron: So Andy Rubin starts at 165 University and ends up at the Googleplex. And the first time I went and met Andy, he said, "I know all about you. I was an Altos OEM 15 years ago." He used to sell Altos computers.

Jessica: Oh, no way.

Ron: Yeah. Early in his career.

Jessica: Oh my gosh.

Carolynn: The theme here, small world.

Ron: Very, very small world.

Jessica: So did Google move to Mountain View after they left 165 University?

Ron: Yes. They moved to, not to the Googleplex, but they added this interim campus down where Intuit is today and right next to what became the Googleplex.

Jessica: So what was it like as an investor, and you're observing them, were Larry and Sergei, did they mature before your very eyes as business people?

Ron: What I remember vividly was the rigor in hiring. It's all about the people, in every company. And Larry and Sergei were very judicious about how we're going to hire, what's the process going to be? The company got really huge, and they were still interviewing every new hire because they knew they were the keepers of the culture.

Jessica: Yeah.

Ron: And that's what I remember the most vividly. And if you have a judicious hiring process, look at what they ended up with. They ended up with one of the most spectacular companies on earth because they were so judicious about hiring.

Jessica: Yeah.

Ron: And if they couldn't hire fast enough, that's just fine. One of the first people they hired who were still really good friends with, George Herrick. He now knows more about AI than anybody because he was starting to do AI research just a few years into his life at Google. Then we have Paul Buchheit, who is now at Y Combinator. He is the godfather of Gmail, but Larry and Sergei handpicked these people. Cindy McCaffrey, I introed. So we introed some of them.

Jessica: Okay.

Ron: Which we're very, very proud about. But then they moved to Mountain View, and I remember the first time in Mountain View, there was just a two-story building. A couple of them connected together with a creek in the middle, very Silicon Valley-ish. And before I would go to meet with Larry or Sergei, or if it was Cindy, there was an unwritten rule that anyone who had anything to do with the company had to go see the wall. And the wall was a huge blank wall with a piece of paper that was probably 5 feet tall and 20 feet wide, and it was hand added every day, the number of searches.

Carolynn: Oh, wow.

Ron: So when you talk about founders who aren't metric driven, and every employee, every team member walked by that wall 10 times a day, and every day they would watch to see how the number went up. And the folklore at the time is Larry, and I'm sure it was not folklore, would audit the searches for unsuccessful searches and go, by then they had enough people, but then go assign engineers. Let's keep fixing the algorithm for these questions that weren't answered properly. So the company really had their eye on the ball. So when they moved from office to office, I said, to me, it looked like a huge piece of old-fashioned freezer paper, that huge, huge paper. I would say, "Where's the freezer paper chart going?" And people, "Well, we don't know where it's going." I said, by then that chart wasn't used anymore. The company was huge.

I said, "That chart is, I think, the most valuable piece of intellectual property in the company. It was everyone paying attention to that chart that got you here." And God bless her, Susan Wojcicki. I was in a meeting asking, most of the people didn't even know what I was talking about. Susan knew what I was talking about and she goes, "I agree with you." I said, "I implore you to find it." And she goes, "We will." And she was that kind of a person. The next time I visit the campus, she goes, "Ron, come over here." I go into a lobby and she goes, "Look up." And she looked the other way. "Look up." I look up and there's the chart, framed beautifully.

Carolynn: Oh, nice.

Ron: And she goes, that'll go with us wherever we go. Now I go, "That chart, it tells the story."

Carolynn: So is it still there now?

Ron: I'm sure it is. That building they're still in, I'm sure the chart is still...

Carolynn: Never moved.

Ron: Yeah.

Jessica: Ron, I got to ask you, relating to Google, you have to tell the story about the Warren Buffett party.

Ron: Yes, yes, yes.

Jessica: I know we're coming up on time a little bit.

Ron: Well, this is after we invested, and for our annual meeting at SV Angel, we had a party afterwards, and Warren Buffett was kind of the guest of honor. It was May of 2000, and May of 2000 was when the crash was upon us. SV Angel was already thinking, we were already very nervous about the crash, but Warren Buffett was sure of the crash. So our guest speaker gets up and basically says, "You are all going out of business." But enough alcohol and hubris that nobody cared. But Warren, God bless him, gave his speech. Then we had a charity auction with Dana Carvey as the auctioneer. And Mark Andreessen, first time he raised his paddle because Netscape had gone public and bid a significant amount. It was a party that nobody will ever forget because Warren Buffett stood at the door and shook every hand.

Jessica: Really?

Carolynn: Wow.

Jessica: Why was he doing this?

Ron: Well, he was the head of NetJets.

Jessica: Okay.

Ron: And NetJets at the time was trying to promote themselves in Silicon Valley. And I said, "I'm not going to promote NetJets, but I'll certainly host Warren Buffett."

Jessica: Right.

Ron: And a lot of stuff happened that night. Larry and Sergei met Warren, and by meeting Warren and then learning more about it, Warren decided when Google goes public, we're going to write a letter the way Warren Buffett writes an annual letter. So when Google decided to go public, Larry and Sergei wrote a letter inspired by Warren Buffett, who they met at this party. The other person that Larry and Sergei met at the party was this person called Sean Fanning. So Napster had been founded, and by this time, the disruption of Napster, Sean Fanning was on the cover of Business Week, Newsweek Life magazine at the time, Fortune Magazine. These magazines, they all find out who's going to be on the cover, so they don't ever put the same person on the cover. All five of those magazines decided that the disruption of Napster was so much that they would break protocol and put Fanning on the same cover the same week.

Carolynn: He was like 19 or 20.

Ron: He was 19 years old, and he was also at the party, and we're into the party, and Larry and Sergei come up to me and say, "Will you introduce us to Sean?"

Carolynn: I love that.

Ron: "We are never going to be famous. We just have 'little Google.' Sean Fanning is famous and we want to meet him." And I said, "You'll meet Sean, but you have to understand..." Remember, we knew this algorithm was going places. I said, "But I have to correct you. You are the ones who will be famous. Just believe me. Believe what I'm telling you. Sean Fanning will not be famous because he's arguing with the record labels, and we probably will be beat." The RIAA was already having 16-year-olds arrested in their houses. I said, "I think you have an enduring business. Sean has all held to pay and lawsuits, et cetera." So I walked Sean over and introduced Larry and Sergei and Sean had already heard about Google and loved it.

Carolynn: And they all fan-boyed out.

Ron: They all had great respect for what each other were accomplishing. But I was right.

Jessica: I love this story. I love thinking about Larry and Sergei being like, "We'll never be that famous."

Ron: They were very sincere. SV Angel had lots of events for founders, and even as Google started to become pretty big, Larry and Sergei would still come and stand behind the Google table and help founders with questions. We had all different themes, but they always came to every event. They knew the importance of networking with other founders and giving back to the community. I remember one where I just said, "There's no way they're going to show up." I mean, Google was, it's really getting famous and they walked in with nobody else.

Jessica: Wow. That's so cool. Ryan Chesky or whoever.

Ron: Yes, exactly.

Carolynn: Well, it turns out that reputation for arrogance, completely wrong.

Ron: Yes.

Carolynn: That's a very anti-arrogant thing to do.

Jessica: Yeah. I think sometimes confidence in what you're doing can sometimes be misinterpreted by others as arrogance.

Ron: Yes.

Jessica: I remember Google had sort of a very unique, crazy IPO. Can you tell us some of the stories that you remember from Google's IPO? Because it's such a big deal.

Ron: Yes. Yes. The Google IPO was a big deal, August 19th of 2004. Larry and Sergei wanted it to be an auction format, a Dutch auction format that Bill Hambrick had kind of mastered.

So in that sense, it was a little controversial, but I want to tell a few side light stories. So Google wants to go public. They have filed for the IPO. Paul Buchheit, now at YC, finished writing Gmail and during the IPO, quiet period, Gmail was released with a lot of excitement. And look at Gmail today.

I mean, back then, Gmail, ho-hum, because you had Yahoo Mail, Microsoft Mail. Oh, Google's got mail, ho-hum. Gmail has now assumed all of those just like they did in the search market. But the works got gummed up because a legislator in Sacramento decides that Gmail is going to violate privacy and wants to literally outlaw Gmail. Her name was assembly member Figueroa. And Sergei writes me a note in April. They went public in August. "Ron, you bring people together and inspire people and you have been so helpful. Actually, it occurs to me, maybe you might be able to help us with a problem we have in Sacramento." Well, Arnold Schwarzenegger was our governor. Arnold was an investor in SV Angel.

Carolynn: No way.

Ron: So we said, "Boy, maybe Arnold could be helpful here." Because the governor at the end of legislation, if it's passed, thank God this did not pass, but governors have the power to veto. And so we knew the court of last resort, which we didn't need, was a veto. And maybe there was some discussion with that, about that or not but based on the bill itself, the merits didn't even pass the legislature, thankfully. But that was a real downdraft to the IPO.

Jessica: Yeah.

Ron: And so we brought in assembly person Jackie Speier to go lead the opposition to the Gmail bill. And Larry and Sergei are futurists. And the day Jackie Speier came in for the visit, Sergei said, "Hey, before the visit starts, I want to show you my whiteboard." And he was just being nice and cordial, but on the whiteboard was Sergei's plan on how someday Google would get us to Mars. He's starting this, and Jackie turns around and Jackie had said to me, "Hey, I've heard these guys are space cadets." And I said, "No, they're not Space cadets." She, no sooner, walks in and Sergei is telling a space cadet story. So I immediately, and she was either going to love it or hate it, and it was like confirming everything she had been thinking. I said, "Sergei, Sergei, look at me. Look at me." And so he looks at me and I go, "We have to start right now."

Jessica: Tapping his watch.

Carolynn: Tapping his watch. Yeah.

Ron: Sergei got it and said, "We need to start the meeting right now." Boom. We start the meeting. The meeting was good. Jackie was helpful, and the bill never made it to the governor's desk. Another story. By then, the fever pitch about the Google IPO was palpable. New York Times front page story, almost every day leading into the IPO, somebody leaks our investor list to the New York Times, which includes some of our friends, some of whom are celebrities, one of which is Shaquille O'Neal. At the same

time, this is happening, the Lakers are going to the playoffs. Shaq makes the mistake of picking up the paper and reading that he is an investor in Google.

Jessica: No.

Ron: He didn't really realize that he was an investor in Google, but he was because his manager, Len Armato, invested in our fund, and therefore he owned a little piece of Google. He thought Leonard was just the best ever and maybe he had a big piece of Google.

Jessica: Oh my.

Ron: And he was saying, "Oh wow, maybe I can retire." His ownership in SV Angel was not enough to retire, but he had convinced himself that he owned enough of Google that he maybe didn't even need to show up for the playoffs.

Jessica: Seriously?

Ron: He gets in his car. The only reason I know the story is he gets in his car, after Leonard said, "No, you don't own a big piece of this. You have to go to practice. You have to go to the playoffs. This'll be a nice little piece of change after they go public and after the fight."

Carolynn: If they go public, it's always an if.

Ron: And his way of mulling things over was getting in the Bentley and driving around LA. The reason I found out about it is Leonard says, Leonard's his manager, who was a good friend of ours, "He's been in the car for a while. Now we're really, really worried." It's like he's a missing person now. I go, "What do you want me to do?" "We want you to call him and explain all this to him."

Carolynn: Oh, no, Ron.

Jessica: That's hilarious.

Ron: And once I took the assignment, I said, "Okay, I'll try." Explained that he's a limited partner with a larger group of people who all might make a...

Jessica: A little bit.

Ron: A little bit of money, but he didn't pick up my call, thankfully.

Jessica: Oh, okay.

Ron: He did go to the playoffs and they won.

Carolynn: Well, it's so weird that he didn't want to be in the playoffs. He was like, "Oh, I can retire. I'm out." I mean, did he want to play in the sport?

Ron: He must've been tired that week.

Carolynn: I guess he was tired or...

Jessica: That's a very funny story. That is funny.

Ron: After the IPO, Google wanted to add more board members and was very interested in celebrity potential board members. I helped with that. Gladly, none of it materialized.

Jessica: I'm surprised that they wanted celebrities on their board.

Ron: There was a point in time where they thought that might be useful. But it passed quickly.

Carolynn: Maybe it was a marketing justification for it or something.

Ron: I bet it was marketing. Well, the reason Shaq was an investor is we very early on in the internet, we knew that media and the internet would converge. And Len Armato, who was Shaq's manager, he saw this very early as well, and Leonard also introduced us to Governor Schwarzenegger. Leonard had a good LA Rolodex, a media Rolodex, and so lots of media and a few celebrities invested because of Leonard. But that also is what perked us up about Napster. Napster is a great example of disruption of the media.

So media and the internet was something that we always had our antenna up and along comes YouTube. And Sequoia had already invested in YouTube, but I knew that video on the internet was a key trend, and we were going to be involved in YouTube no matter what. Now, I was the Sequoia Limited partner anyway, so I was already an investor in YouTube, but we wanted to be at the center of video on the internet. We made many investments in that area, but already, the winner was YouTube. I forget how I got to them, but I went up and would meet with Chad and Steve when we had no economic interest, but we wanted to help them.

Jessica: Because you knew they'd be big.

Ron: And at the Blue Angels before Google acquired them, that's the October Blue Angels event. Some Googlers did not show up like David Drummond and others did. And I go, "I just feel like something's up." And one of the Googlers whispers, "We're buying YouTube this weekend." And I said, "That is the smartest thing you could ever do." YouTube was already plagued by lawsuits. It was kind of Napster all over again. And I knew Chad and Steve enough that I didn't know the deal was coming down beforehand but because of the Napster experience, they knew that I knew that they had to sell it to a big company.

We'll talk about Napster and Bertelsmann when we talk about Napster, but the YouTubers did it right because they said, "Google has enough lawyers to see through the copyright issues and help us build a big company." And Chad and Steve moved into the

company. Google promised they would not change the name. They still have not changed the name. And Chad and Steve helped build YouTube in a company that could hold off and keep them from being driven out of business in the courts. Napster was driven out of business in the courts, and God bless Chad and Steve, who we're still very close to, they saw that and they said, "We could try and see this through, but we won't be able to build a big company." And the company came first.

Jessica: But that was a big deal. If I remember correctly, Google paid a billion dollars, and that was huge at the time.

Ron: Unheard of.

Carolynn: So big.

Ron: Unheard of, but oh, what that is worth today.

Jessica: I know.

Ron: But at the time, Google paid up, so to speak.

Jessica: Yeah, yeah, yeah.

Ron: But boy, have they earned that back. The other thing, after they went public, we would help bring in speakers for Zeitgeist, which was an annual conference, and we brought in Snoop Dogg one year. My common bond with Snoop was gun safety after the Sandy Hook tragedy. But he was so passionate about it. I said, "Why don't you come and talk to Google, at Google Zeitgeist about it? These are the kinds of issues that we want to discuss at Zeitgeist." And he came and gave an amazing talk. But I went backstage to greet him, and he had cleaned himself up so much I didn't know who he was.

Jessica: Really?

Ron: He walks up behind me and he said, "I'm looking for Snoop." And he goes, "I'm right here, you idiot." I go, "Wow, you cleaned up good." He had a suit and new hair. I mean, he took, and this is right after Google's public and people are really taking Google seriously. And Snoop came and was great. Sean Penn came one year. Right now, I'm working closely with Google on artificial intelligence. They were one of the first members of our AI ad hoc work group. And Demis of DeepMind is a very good friend. The point I'm making here is our relationships at Google have never ended. I was shocked that Joan Bradai just left. She was one of the people that Omid hired who had been up till she left the longest tenured person still at Google.

Jessica: Wow.

Ron: So the company continues to create history and we love being involved even today.

Carolynn: It's historic.

Jessica: I know it is historic and I loved all those stories.

Ron: I hate to end on a sad note, but it is sad. Susan Wojcicki, who really is the one who really built YouTube, Larry and Sergei hand-picked basically a co-founder to run this precious asset called YouTube and she ran it until she got ill and she passed away last year and we're going to make sure people don't forget about Susan.

Carolynn: No.

Ron: I'll just put it that way. We need to find early detection for lung cancer and you'll be hearing from us.

Jessica: Good. That's great. Well, thank you Ron. This is a wide-ranging...

Carolynn: Thank you for this time.

Jessica: Historical lesson on Google. I learned a whole bunch of things.

Ron: It's our cut at it. The SV Angel cut at Google.

Jessica: And I can't wait til we will come back the next time. I think maybe Napster's on tap.

Ron: Yeah, Napster.

Carolynn: That should be a good one.

Ron: All the companies that Sean Fanning and Sean Parker have started. When we invest with founders at SV Angel, we invest for life.

Jessica: Yeah.

Ron: So Sean Fanning, Sean Parker, we have a lot to talk about because we've invested in every one of their endeavors.

Jessica: I love it. I can't wait. This is going to be a great episode.

Ron: Thank you. Thank you.

Jessica: So thank you for coming on, Ron.

Carolynn: Thank you.

Ron: It's a pleasure.

Jessica: Bye.

Carolynn: Bye.

